

UNION BUDGET, FISCAL POLICY AND DEFICIT INDICATORS

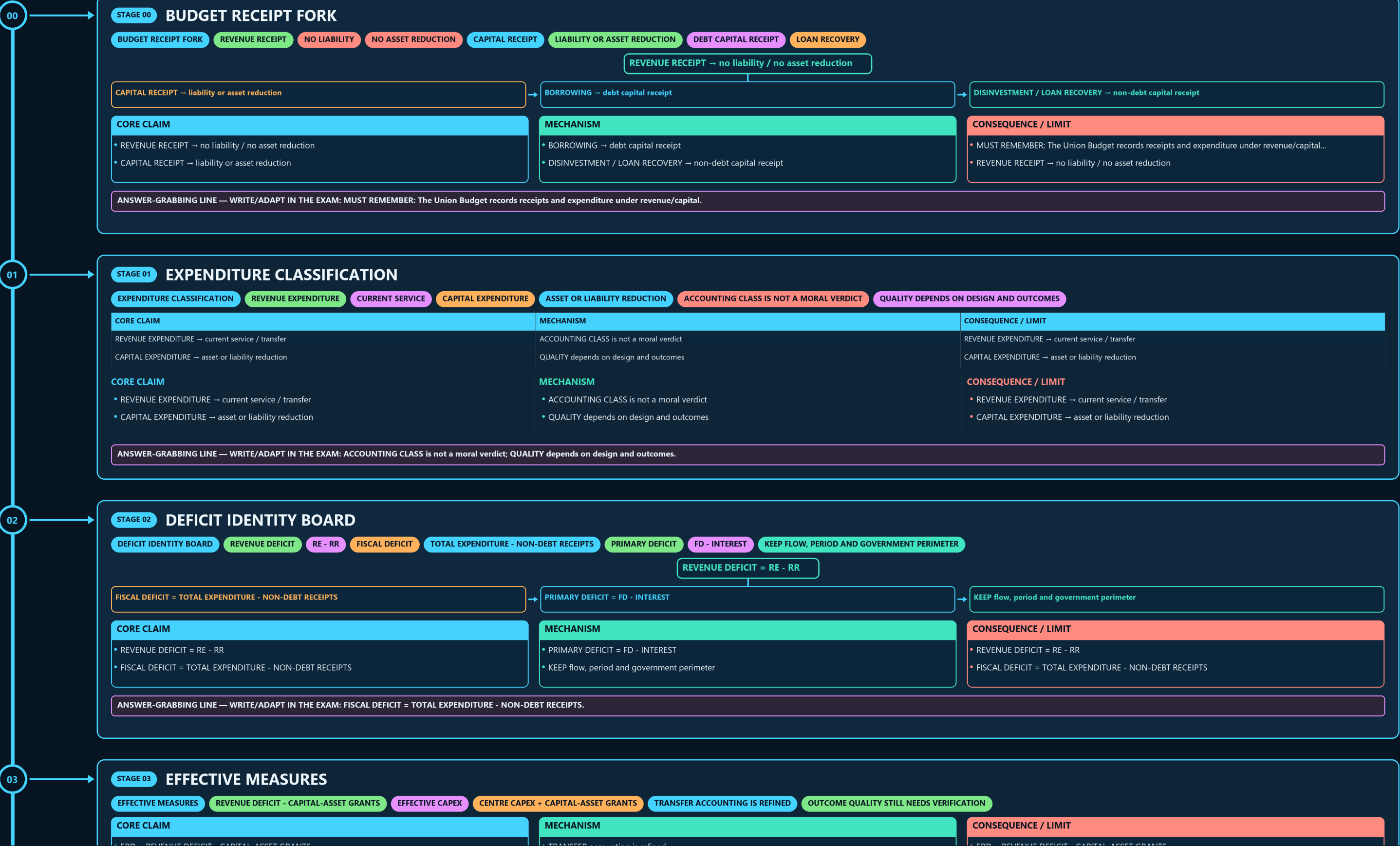
BUDGET RECEIPT FORK → EXPENDITURE CLASSIFICATION → DEFICIT IDENTITY BOARD → EFFECTIVE MEASURES → ESTIMATE-VINTAGE RAIL → CONSTITUTIONAL DOCUMENT STACK

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g3 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Allocation is not release or expenditure, capital receipt is not.

06

STAGE 06 DEBT-DYNAMICS CHAIN

DEBT-DYNAMICS CHAIN PRIMARY BALANCE + INTEREST FISCAL DEFICIT DEBT STOCK FUTURE INTEREST FEEDBACK

PRIMARY BALANCE + INTEREST

FISCAL DEFICIT

DEBT STOCK

FUTURE INTEREST FEEDBACK

CORE CLAIM

- PRIMARY BALANCE + INTEREST
- FISCAL DEFICIT

MECHANISM

- DEBT STOCK
- FUTURE INTEREST FEEDBACK

CONSEQUENCE / LIMIT

- PRIMARY BALANCE + INTEREST
- FISCAL DEFICIT

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PRIMARY BALANCE + INTEREST; FISCAL DEFICIT; DEBT STOCK; FUTURE INTEREST FEEDBACK.

07

STAGE 07 CROWDING FORK

CROWDING FORK BORROWING DURING TIGHT FINANCE SAVINGS PRESSURE CROWDING OUT CAPEX REMOVES BOTTLENECKS CROWDING IN

rates / savings pressure → crowding out

CAPEX REMOVES BOTTLENECKS

productivity / demand → crowding in

CORE CLAIM

- BORROWING DURING TIGHT FINANCE
- rates / savings pressure → crowding out

MECHANISM

- CAPEX REMOVES BOTTLENECKS
- productivity / demand → crowding in

CONSEQUENCE / LIMIT

- BORROWING DURING TIGHT FINANCE
- rates / savings pressure → crowding out

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CAPEX REMOVES BOTTLENECKS; productivity / demand → crowding in.

08

STAGE 08 HIDDEN-RISK PERIMETER

HIDDEN-RISK PERIMETER HEADLINE DEFICIT EXTRA-BUDGETARY BORROWING DELAYED PAYMENTS WIDER FISCAL RISK

EXTRA-BUDGETARY BORROWING

DELAYED PAYMENTS → wider fiscal risk

HEADLINE DEFICIT

CORE CLAIM

- HEADLINE DEFICIT
- EXTRA-BUDGETARY BORROWING

MECHANISM

- DELAYED PAYMENTS → wider fiscal risk
- HEADLINE DEFICIT

CONSEQUENCE / LIMIT

- EXTRA-BUDGETARY BORROWING
- DELAYED PAYMENTS → wider fiscal risk

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EXTRA-BUDGETARY BORROWING; DELAYED PAYMENTS → wider fiscal risk.

09

STAGE 09 STATE FISCAL QUALITY

STATE FISCAL QUALITY OWN-REVENUE MOBILISATION EXPENDITURE QUALITY FISCAL PRUDENCE DEBT SUSTAINABILITY

OWN-REVENUE MOBILISATION

EXPENDITURE QUALITY

FISCAL PRUDENCE

DEBT SUSTAINABILITY

CORE CLAIM

- OWN-REVENUE MOBILISATION
- EXPENDITURE QUALITY

MECHANISM

- FISCAL PRUDENCE
- DEBT SUSTAINABILITY

CONSEQUENCE / LIMIT

- OWN-REVENUE MOBILISATION
- EXPENDITURE QUALITY

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OWN-REVENUE MOBILISATION; EXPENDITURE QUALITY; FISCAL PRUDENCE; DEBT SUSTAINABILITY.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EXTRA-BUDGETARY BORROWING; DELAYED PAYMENTS → wider fiscal risk.

09

STAGE 09 STATE FISCAL QUALITY

STATE FISCAL QUALITY OWN-REVENUE MOBILISATION EXPENDITURE QUALITY FISCAL PRUDENCE DEBT SUSTAINABILITY

OWN-REVENUE MOBILISATION

EXPENDITURE QUALITY

FISCAL PRUDENCE

DEBT SUSTAINABILITY

CORE CLAIM

- OWN-REVENUE MOBILISATION
- EXPENDITURE QUALITY

MECHANISM

- FISCAL PRUDENCE
- DEBT SUSTAINABILITY

CONSEQUENCE / LIMIT

- OWN-REVENUE MOBILISATION
- EXPENDITURE QUALITY

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OWN-REVENUE MOBILISATION; EXPENDITURE QUALITY; FISCAL PRUDENCE; DEBT SUSTAINABILITY.

10

STAGE 10 BUDGET 2026-27 STATUS CARD

BUDGET 2026-27 STATUS CARD 2026-27 BE FISCAL DEFICIT 4.3% GDP CAPEX RS 12.22 LAKH CRORE 2025-26 RE FISCAL DEFICIT 4.4% GDP RE, NOT ACTUALS

2026-27 BE → fiscal deficit 4.3% GDP

2026-27 BE → capex Rs 12.22 lakh crore

2025-26 RE → fiscal deficit 4.4% GDP

STATUS → BE / RE, not Actuals

CORE CLAIM

- 2026-27 BE → fiscal deficit 4.3% GDP
- 2026-27 BE → capex Rs 12.22 lakh crore

MECHANISM

- 2025-26 RE → fiscal deficit 4.4% GDP
- STATUS → BE / RE, not Actuals

CONSEQUENCE / LIMIT

- 2026-27 BE → fiscal deficit 4.3% GDP
- 2026-27 BE → capex Rs 12.22 lakh crore

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 2026-27 BE → capex Rs 12.22 lakh crore.

11

STAGE 11 FISCAL-POLICY ANSWER SPINE

FISCAL-POLICY ANSWER SPINE DEFINE IDENTITIES AND COVERAGE CHECK BE ACTUAL VINTAGE ASSESS COMPOSITION AND MULTIPLIER CONCLUDE ON DEBT PATH AND TRANSPARENCY EVIDENCE LIMIT USE ONE BUDGET YEAR AND DOCUMENT STAGE—BE

DEFINE identities and coverage

CHECK BE / RE / Actual vintage

ASSESS composition and multiplier

CONCLUDE on debt path and transparency

EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Use one Budget year and document stage—BE

CORE CLAIM

- DEFINE identities and coverage
- CHECK BE / RE / Actual vintage

MECHANISM

- ASSESS composition and multiplier
- CONCLUDE on debt path and transparency

CONSEQUENCE / LIMIT

- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Use one Budget year and document stage—BE,...
- DEFINE identities and coverage

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Use one Budget year and document stage—BE,.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT FISCAL IMPULSE DEPENDS ON CHANGES IN THE CYCLICALLY RELEVANT DEBT SUSTAINABILITY DEPENDS ON THE INTEREST-GROWTH DIFFERENTIAL, PRIMARY BALANCE PUBLIC CAPEX CAN CROWD IN PRIVATE INVESTMENT WHEN IT OFF-BUDGET BORROWING AND GUARANTEES CAN OBSCURE THE FULL PUBLIC-SECTOR AUTOMATIC STABILISERS WORK WITHOUT FRESH DECISIONS, WHILE DISCRETIONARY POLICY FISCAL RULES NEED CREDIBLE ESCAPE CLAUSES, TRANSPARENT ACCOUNTING AND MINISTRY OF FINANCE

OPTIONAL SOURCE DEPTH

- CAUTION: Fiscal impulse depends on changes in the cyclically relevant stance, not only the
- CAUTION: Debt sustainability depends on the interest-growth differential, primary balance,
- CAUTION: Public capex can crowd in private investment when it removes infrastructure bottlenecks
- CAUTION: Off-budget borrowing and guarantees can obscure the full public-sector risk position.

ADVANCED DEBATE

- CAUTION: Automatic stabilisers work without fresh decisions, while discretionary policy is
- CAUTION: Fiscal rules need credible escape clauses, transparent accounting and a medium-term
- Ministry of Finance: prepares the Union Budget, borrowing programme and fiscal
- Parliament: authorises taxation and expenditure through constitutional budget

LEGACY / NUANCE

- CAG and parliamentary financial committees: audit and scrutinise public spending and
- FRBM framework and fiscal councils or analytical bodies: provide medium-term
- CAUTION: Borrowing to complete a productive transport network can expand future capacity;
- CAUTION: A grant to a state used to create a capital asset enters effective capital expenditure

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.